

POLICY NUMBER: FP-OPSFIN-122

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Accounts Receivable Deposits

This policy includes guidelines for controls surrounding advance deposits.

POLICY STATEMENT

This policy outlines the general procedures that must be followed to ensure advance deposits are handled correctly. Deposits may be required to reserve space at the Hotel or serve as a commitment by the guest or group to pay for goods and/or services provided by the Hotel.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. GROUP DEPOSIT GUIDANCE

- 1) Generally, a group customer has made a contractual commitment via a Hilton standard Sales or Catering contract which stipulates the requirements to pay for hotel goods and services provided for their event. Typically, deposits are required as a term and condition of the applicable Hilton Sales or Catering contract.
- 2) Unless proper credit has been established in advance, all payment is due prior to the commencement of the event. Hilton standard practice is as follows:
 - a) No later than 30 days prior to the event, 50% deposit is required
 - b) Full payment is to be obtained no later than 14 days prior to the event
- 3) For all Convention / Large event business, the minimum deposit schedule is as follows:
 - a) 10% deposit is payable 90 days prior to arrival or at time of confirmation if the arrival date is within 90 days
 - b) 40% deposit is payable 30 days prior to arrival or at time of confirmation if the arrival date is within 30 days
 - c) 100% payment should be received prior to the event, unless approved credit arrangement is in place
- 4) For professional and trade associations, every attempt should be made to obtain a deposit. Since attendees normally pay their own expenses, it is recommended that the deposit amount quoted to the customer is equivalent to 10% of the anticipated revenue for the event (inclusive of taxes).
- 5) Promotional conferences, seminars, and social events such as a wedding receptions, class reunions, merchandising, etc., require a minimum 50% deposit (payment must clear) prior to the event. In addition, every attempt should be made to obtain the balance of the full estimated sales contract prior to customer arrival.
- 6) Political events must be paid in full in advance of the event. The Hotel Operations Leader may not make any exceptions for providing credit to these types of customers.
- 7) For last minute bookings, full payment must be received and have cleared the bank prior to the event.
- 8) Adjustments to Hilton's deposit collection standard practice can be accommodated based on cultural differences and local market / business practices; however, full payment remains due in full prior to the commencement of the event, and any adjustments to Hilton's standard deposit collection schedule must be clearly defined in the Sales or Catering contract.
- 9) In the event that full payment is not received in advance of the event, approval is required in accordance with FP-OPSFIN-120, Sections E, F & G

B. DEPOSIT CONTROLS

- 1) Individual guest deposits are required to be maintained in the Property Management System (PMS). Deposits are to be posted to the guest's reservation within the deposit ledger and transferred to the guest folio upon check-in.
- 2) Group deposits are to be posted to the applicable group account under Advanced Deposit Ledger. To ensure correct classification, the date of the function is to be indicated on the group account.
- 3) If a guest or group does not arrive, the deposit is to be charged according to the contract terms. If applicable, the remainder is to be refunded to the guest or group. Reference FP-OPSFIN-130 Revenue Reconciliation for further instructions regarding No Shows and SOP-OPSFIN-231 Other Revenue Controls, for further instructions regarding Attrition and Cancellations.
- 4) It is the responsibility of the Conference & Events Manager, Front Office Manager, or Revenue Manager to ensure that no-shows, attrition, or cancellations are charged per contract terms.
- 5) Treatment of deposits received via check must comply with FP-OPSFIN-121 Accounts Receivable Billing, Collections, & Payment Receipt.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).